

POLARIS ENERGY TECHNOLOGY RESEARCH INSTITUTE

Travel and Business Entertainment Expense Reimbursement Management System

Finance Department

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Finance Department | Approved by:Li Zhenghua (President)

Chapter I General Provisions

Article 1 Purpose

To standardize the reimbursement management of travel and business entertainment expenses of our institute,ensure the authenticity,rationality,and compliance of expense expenditures,improve financial management efficiency,and in accordance with relevant national financial regulations and the actual situation of our institute,this system is hereby

Article 2 Scope of Application

This system applies to all employees of our institute for expense reimbursement arising from business trips,business entertainment,and external expert reception.External invited experts shall be reimbursed for expenses in accordance with this system and relevant approval

Article 3 Basic Principles

1. Authenticity Principle: All reimbursed expenses must be based on actual business activities; false claims and fraudulent collection are strictly prohibited;
2. Reasonableness Principle: Expense expenditures should match the actual needs of business activities, and cost-saving measures should be practiced;
3. Timeliness Principle: Expenses should be submitted for reimbursement within the specified time after the business activity is completed;
4. Compliance Principle: Reimbursement processes and invoice requirements should comply with this system and relevant financial

Chapter II Definition and Classification of Reimbursable Expenses

Article 4 Travel Expenses

Travel expenses refer to reasonable expenses incurred by employees or invited experts when traveling from their usual place of residence to other cities for official business needs, specifically including:

4. 1. Transportation expenses: Including air tickets, train tickets, long-distance bus tickets, taxi fares, ride-hailing service fees, valet parking fees, parking fees, and other local transportation expenses;
5. 2. Accommodation expenses: Refers to expenses incurred when staying at hotels or other accommodation facilities at the business trip destination. In addition to the basic room rate, accommodation expenses should also include reasonable incidental consumption incurred during the stay, such as in-hotel dining expenses, hotel parking fees, and hotel business center usage fees. The above incidental expenses should be calculated together with the room rate and reimbursed uniformly. It is not permitted to exclude reasonable incidental consumption within the hotel from accommodation expenses and handle it separately;
6. 3. Meal allowances: Catering expenses during business trips shall be executed according to relevant standards;

4. Other expenses: Including reasonable expenditures such as luggage shipping fees and communication fees incurred for official business

Article 5 Business Entertainment Expenses

Business entertainment expenses refer to dining, entertainment, and other expenses incurred due to the need to entertain clients, partners, or external experts for official business purposes. Specifically including:

7. 1. Business banquet expenses: Banquet expenses arranged for official business needs such as project negotiations and cooperation exchanges;
 8. 2. Work meal expenses: Work meals uniformly arranged for official business activities;
3. Other entertainment expenses: Entertainment expenditures such as tea breaks and beverages approved through the approval

Article 6 External Expert Reception Expenses

External expert reception expenses refer to reception expenses incurred when our institute invites external experts to conduct technical consultation, academic exchanges, project reviews, and other activities. Such expenses shall be executed in accordance with relevant travel expense regulations, specifically including:

9. 1. Expert accommodation expenses (including reasonable incidental consumption within the hotel, reimbursed together);
10. 2. Expert round-trip transportation expenses and local transportation expenses during the visit (including valet parking fees, parking fees);

3.Expert work meals and other reasonable expenditures approved through the approval

Article 6AExpense Liability After Scheduled Conclusion of Expert Visit

All expenses incurred by an external expert after the scheduled conclusion date of the visit activity—including but not limited to extended accommodation,additional local transportation,meals,and any other incidental costs—shall be borne by the expert individually and shall not be claimed for reimbursement from the institute.The scheduled conclusion date shall be determined by the approved work plan and invitation approval form.The institute shall only be liable for expenses occurring on or before the scheduled conclusion date.

Chapter III Reimbursement Process

Article 7Standard Reimbursement Process

Our institute implements a four-level reimbursement process of "Submit Application — Department Review — Financial Review — Payment",with specific procedures as follows:

(1)Submit Reimbursement Materials

The claimant shall submit complete reimbursement materials to their department within ten working days after the business activity is completed.Reimbursement materials should include:

11. 1.A fully completed expense reimbursement application form;
12. 2.Original compliant expense invoices (specific requirements see Chapter VI);
13. 3.Authenticity proof materials corresponding to the reimbursement matter (such as approval documents,work plans,meeting notices,etc.);

4.Other auxiliary materials required by the Finance

(2)Department Head Review

The department head shall complete the review within three working days after receiving the reimbursement materials.Main review contents include:

14. 1.The authenticity and necessity of the reimbursement matter;
15. 2.The rationality of the expense expenditure;
16. 3.The completeness and compliance of the invoices;

4.Consistency with approval

After passing the review,the department head signs to confirm on the reimbursement application form and forwards it to the Finance

(3)Finance Department Review

The Finance Department shall complete the review within five working days after receiving the reimbursement materials. Main review contents include:

17. 1. The authenticity and compliance of the invoices;
18. 2. The accuracy of expense calculations;
19. 3. The completeness of the approval process;

4. Consistency with relevant

After passing the review, the Finance Department prepares payment vouchers and enters the payment

(4) Reimbursement Payment

After completing the review, the Finance Department shall complete the reimbursement payment within seven working days. Payment will be made by bank transfer to the claimant's designated account. If special circumstances require delayed payment, the Finance Department should notify the claimant in advance and explain the

Article 8 Expedited Reimbursement

For reimbursement applications requiring expedited processing due to special reasons, with the approval of the responsible institute leader, the review time limits for each stage may be shortened, but no review step may be

Chapter IV Multiple-Person Expense Reimbursement

Article 9 Joint Expenses for Multiple Persons

20. 1. For expenses jointly incurred by multiple persons for the same business activity (such as shared meals, shared transportation, etc.), in principle, one person shall uniformly claim reimbursement. The reimbursement application form must indicate the names and positions of all participating personnel;
21. 2. For joint accommodation expenses of multiple persons, each person may claim reimbursement for their respective room expenses separately, or the organizer may uniformly claim reimbursement. The specific method shall be determined according to actual circumstances and approval documents;
3. For entertainment expenses jointly incurred by external experts and our institute employees, they may be submitted together in the same reimbursement application, but the beneficiaries and purposes of each expense item must be listed

Article 10 Expense Allocation

22. 1. For expenses involving multiple projects, the reimbursement should be listed separately according to the project funding allocation proportion;

2.The expense allocation plan must be jointly confirmed by the relevant project leaders and department

Chapter V Authenticity Proof Materials

Article 11Proof Material Requirements

To ensure the authenticity of reimbursement matters,the claimant must provide one or more of the following proof materials:

23. 1.An approved work plan or business trip approval form;
24. 2.Meeting notices,meeting minutes,or meeting sign-in sheets;
25. 3.External expert invitation approval form and visit work plan;
26. 4.Relevant clauses in project cooperation agreements or contracts related to the reimbursement matter;
27. 5.Records in work logs or work summaries corresponding to the reimbursement matter;
- 6.Other written materials capable of proving the authenticity of the reimbursement

Article 12Consistency of Proof Materials

The time,location,personnel,and matter information in the authenticity proof materials should be consistent with the information in the reimbursement invoices and reimbursement application form.If inconsistencies exist,the claimant must provide a written explanation,which must be jointly confirmed by the department head and the Finance Department before the reimbursement process can

Chapter VI Acceptable Invoice Requirements

Article 13Basic Invoice Requirements

28. 1.All reimbursement invoices must be machine-printed or electronic invoices issued by legitimate commercial institutions;handwritten invoices are not accepted;
29. 2.Invoices should be clear and complete,containing necessary information such as merchant name,consumption date,consumption item details,and amount;
- 3.The invoice date should be consistent with the actual occurrence time of the reimbursement matter;

Article 14Acceptable Invoice Types

According to the business characteristics of our institute and international business needs,the following types of invoices may serve as reimbursement vouchers:

30. 1. Hotel Accommodation Bill (Guest Folio /Hotel Bill): A formal accommodation expense statement issued by the hotel, which should include check-in date, check-out date, room rate details, taxes, incidental consumption details, and total amount. The hotel accommodation bill is the core voucher for accommodation expense reimbursement;
31. 2. Catering invoices or receipts: Machine-printed consumption vouchers issued by legitimate catering institutions;
32. 3. Transportation invoices: Including airline electronic ticket itineraries, train tickets, taxi machine-printed invoices, ride-hailing platform electronic invoices, valet parking service receipts, etc.;
33. 4. Credit card charge slips or bank statements: May serve as auxiliary vouchers but cannot replace formal commercial invoices;
5. Electronic invoices: Formal invoices received via email or other electronic means, which may serve as reimbursement vouchers after

Article 15 Invoice Language Requirements

34. 1. Domestic expense reimbursement must provide Chinese invoices;
35. 2. Overseas expense reimbursement may accept English or other foreign language invoices; the claimant should attach a Chinese translation explanation next to the invoice, indicating the Chinese equivalents of consumption items and amounts;
3. Foreign currency invoices shall be converted to RMB at the central parity rate published by the People's Bank of China on the reimbursement

Article 16 Special Invoice Handling

36. 1. For hotel accommodation expenses, if the hotel bill contains multiple expense items (such as room rate, dining, parking, taxes, etc.), the claimant should provide the complete hotel bill, with all expense items reimbursed together without itemized splitting;
37. 2. For valet parking expenses, parking receipts issued by the hotel or third-party service providers may serve as valid reimbursement vouchers;
3. For special circumstances where formal invoices cannot be obtained (such as overseas small-amount consumption), the claimant must provide a written explanation and attach other auxiliary proof materials, and reimbursement may be approved only after joint review by the department head and the Finance

Chapter VII Supplementary Provisions

Article 17 System Interpretation

This system is interpreted by the Finance

Article 18 Revision

This system shall be revised in a timely manner according to actual implementation and changes in national relevant regulations. Revised versions shall be published and implemented after approval by the Institute Affairs

Article 19 Effectiveness

This system shall take effect from January 1, 2011. The former "Travel Expense Reimbursement Management Measures (Trial)" (POL-FIN-2009-001) is simultaneously

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